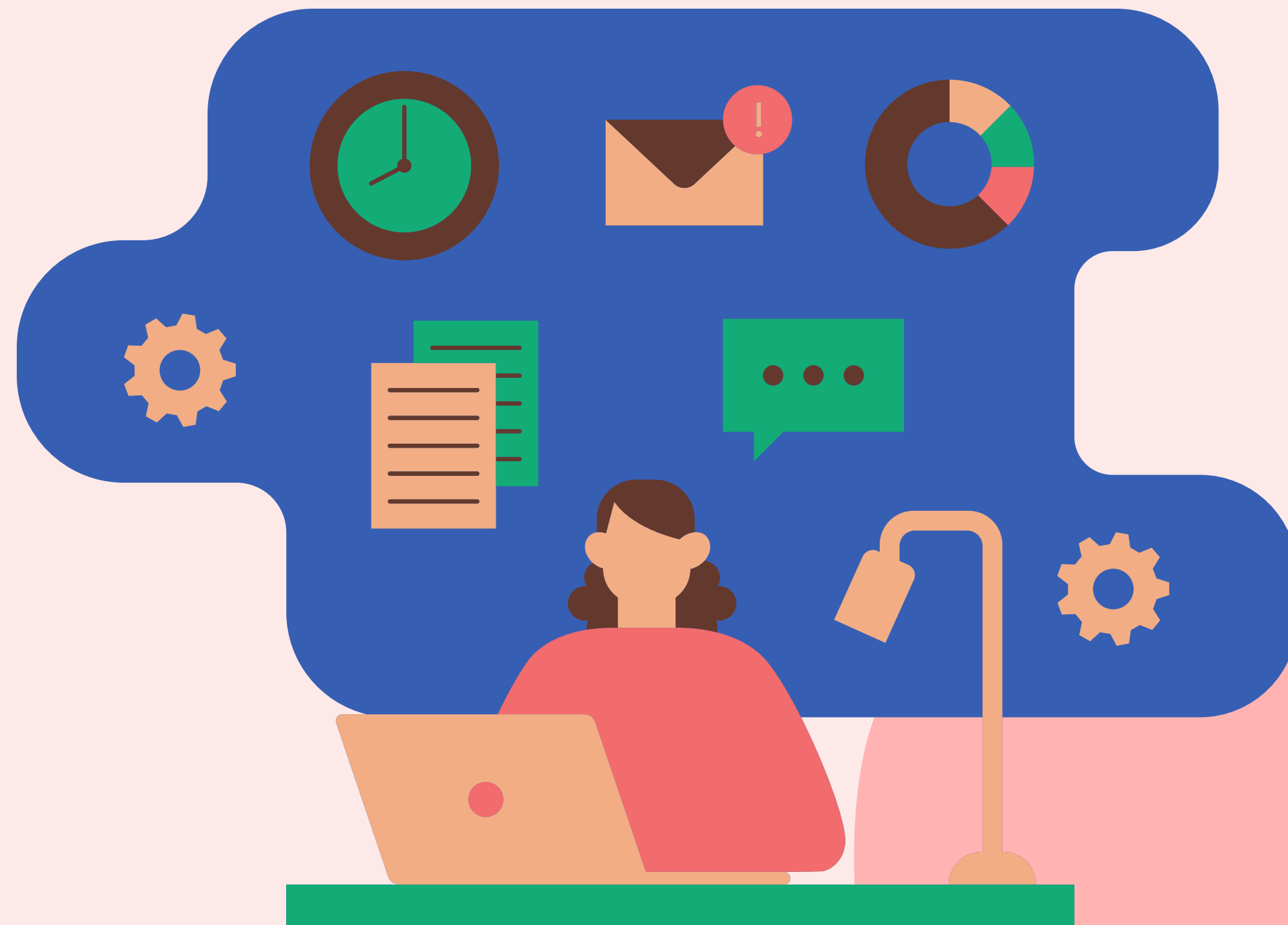


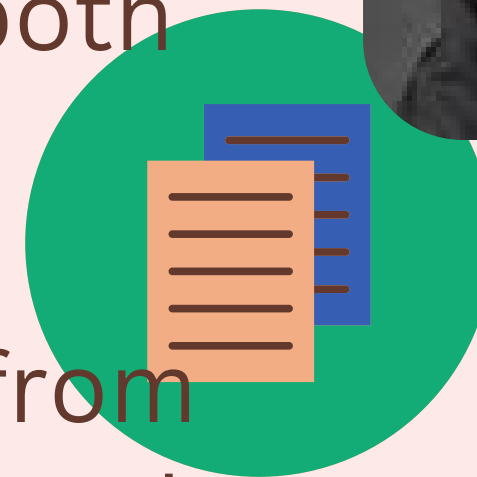
RISK MANAGEMENT



According to **Dr. Peter Tarlow**, risk management and safety expert, all events carry two risks:

(1) the risk of a negative occurrence both on-site and off- site and;

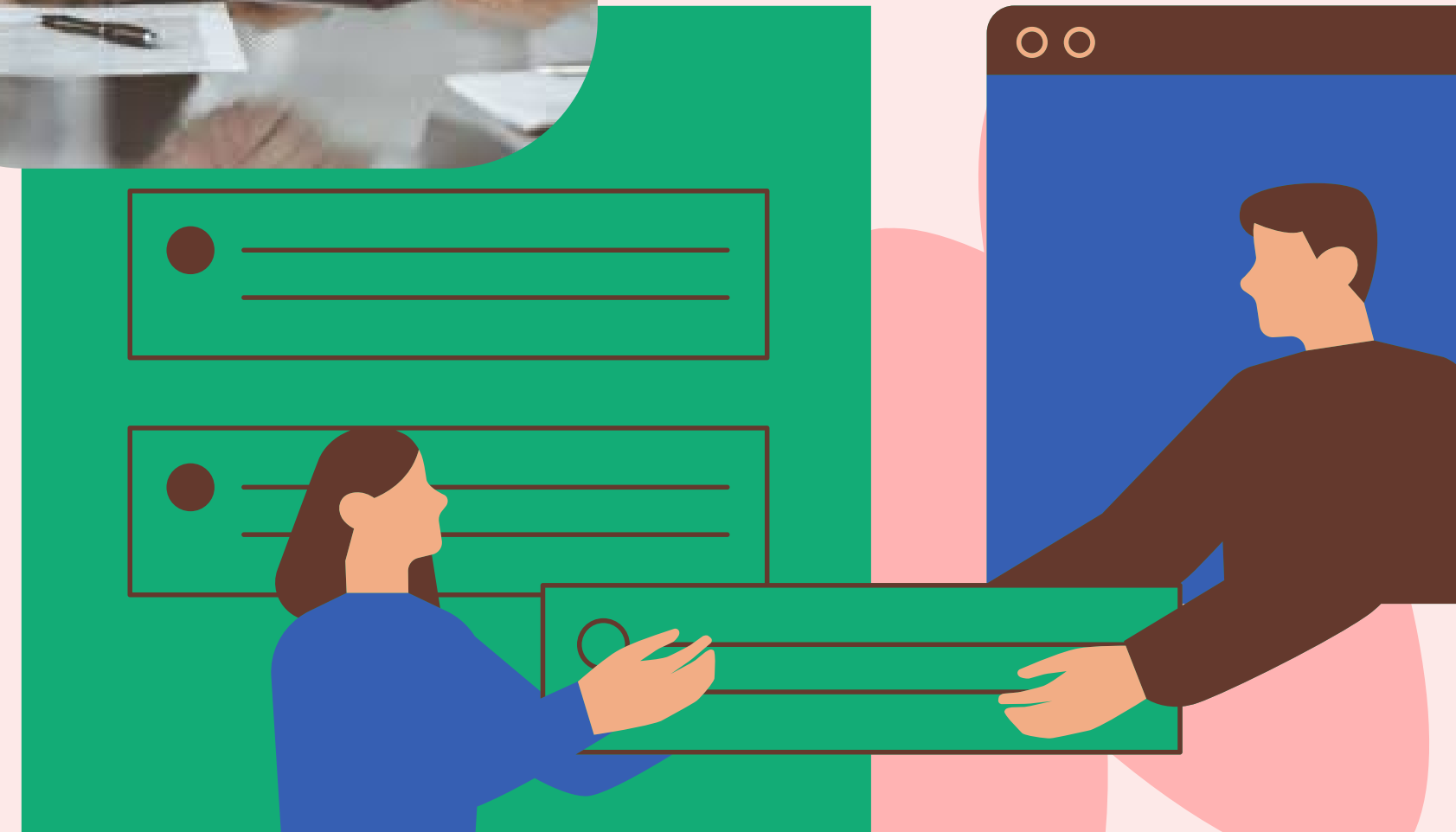
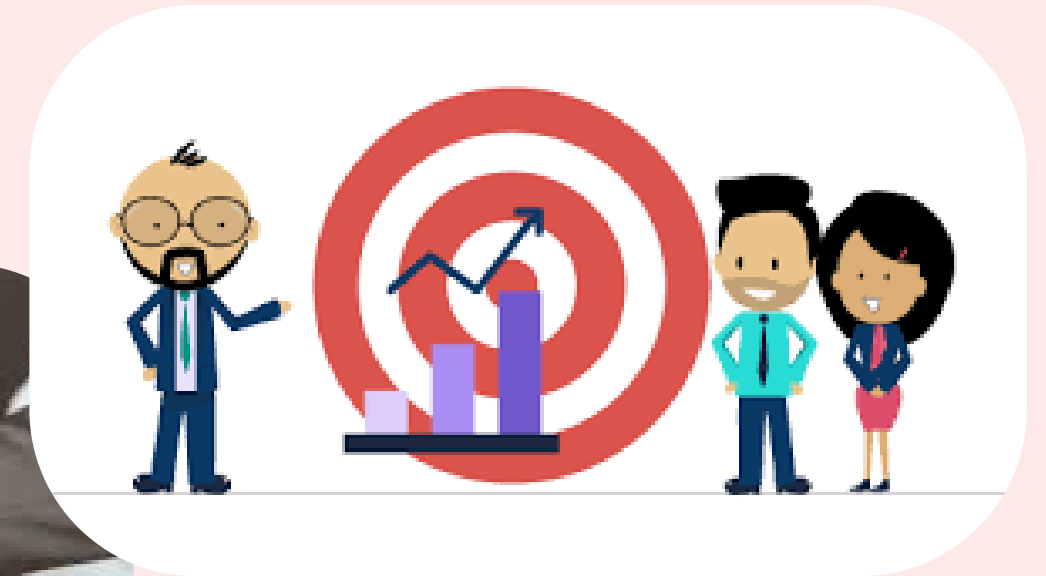
(2) the negative publicity that comes from this negative occurrence Whenever people are brought together, there is an element of risk.



Compliance with Existing Laws and Regulation

There are many reasons why an event must comply with existing laws and regulations. The four primary reasons are:

1. to protect one's legal interests;
2. to abide by ethical practices;
3. to ensure the safety and security of the event stakeholders; and
4. to protect one's financial investment.



Protecting One's Legal Interests

Preparing contracts, permits, and licenses that are required and complying with other legal requirements will ensure that the event may proceed without interruption.



Adherence to Ethical Practices

One of the requirements of a profession is to follow a code of ethical conduct. Because event management has emerged as a modern profession, a code of ethics has been developed by the International Special Events Society (ISES).



Ensuring the Safety and Security of Event Stakeholders

A safe event environment is one that is protected from future harm and sustaining it during the course of an event.



Protecting One's Financial Investment

Practicing thorough legal, ethical, and risk management proactive measures may help the event produce greater revenues.

Basic Components of an Event Management Agreement or Contract

The event management contract shows the agreement between two or more parties regarding their mutual interests as specified in the agreement. A binding contract must contain the following basic components:

PARTIES

The names of the parties must be clearly identified. The agreement must be described as being between these parties and the names that are used in the agreement must be defined.

OFFER

The offer is the service or product given by one party to another.

CONSIDERATION

The consideration clause defines what one party will provide the other upon the acceptance of an offer.



ACCEPTANCE

active ethical and When both parties accept an offer, they execute or sign the agreement confirming that they understand and agree to comply with the terms and conditions of the agreement.

Other Components

The most typical clauses are:

TERMS

The terms clause defines how and when the funds will be paid to the person making the offer.

CANCELLATION

Events are always subject to cancellation. Thus, it is important to provide for this contingency legally with a detailed cancellation clause.

FORCE MAJEURE (Act of God)

In the force majeure clause, both parties agree on which circumstances, deemed to be beyond their control, will allow an event to be canceled without penalty to either party.



ARBITRATION

It is a common practice to include in event management agreements an arbitration clause in place of a legal judgment when both parties fail to agree. **BILLING** Because many events involve entertainers, the agreement must define how entertainers will be listed in advertising and in the program.

TIME IS OF THE ESSENCE

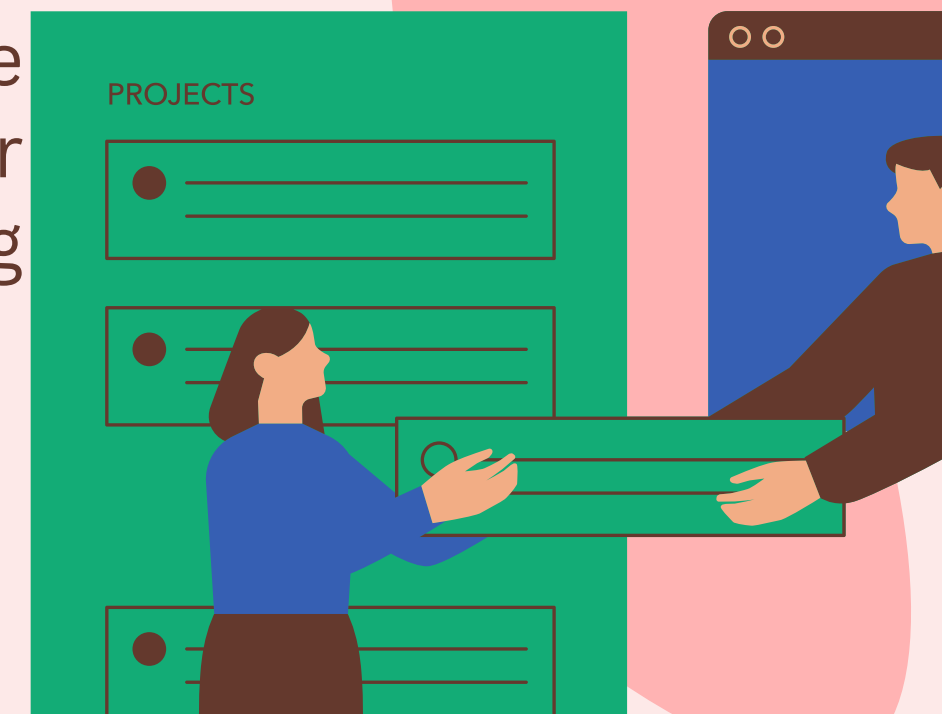
The time-is-of-the-essence clause instructs both parties that the agreement is valid only if it is signed within a prescribed period of time.

ASSIGNMENT

Agreements should contain clauses indicating that the contract may not be assigned to other parties.

REPUTATION

Some event managers include a specific clause that recognizes the importance of the purchaser's reputation and states that the event manager will exert his or her best efforts to protect the purchaser's reputation during the event.



COMPLETE AGREEMENT

The complete agreement is the final clause which states that the agreement constitutes the full understanding of both parties.

Other Agreements

There are other management agreements aside from the in event agreement. These are:

1. Consulting agreement an agreement in which one party, usually the event manager, agrees to give consulting services to another party.
2. Employment agreement - an agreement in which an employee agrees to particular terms of employment.
3. Exhibitors contract- an agreement between the exhibitors and the sponsor of an exhibit to rent a booth at the exhibit
4. Hotel contract - an agreement between the hotel and the organization holding an event to furnish rooms, function space and food and beverages services for a particular event or several events

COMPLETED



5. Non-compete agreement- an agreement in which an employee agrees not to engage in a contract in a particular industry for a certain period of time after the conclusion of employment.
6. Purchase order services- an order to a seller to supply products
7. Sponsorship agreement - an agreement between a sponsor and an event organizer in which the event organizer agrees to give marketing services to the sponsor for specific payment.
8. Vendor agreement - an agreement between the seller and the event manager to supply particular services or products for an event.

MEANINGS OF PERMITS

Permits are issued by local governments. They allow the event manager to hold event activities.



MEANINGS OF LICENSES

A license is issued by a government agency or by a private association. It allows the event manager to hold a particular activity.

Synergistic Relationship of Contracts, Permits, and Licenses

The event manager must comprehend the importance of contracts, permits, and licenses in organizing modern events. Contract permits and licenses have legal, ethical, and risk management effects.

Risk Management Procedures

When people gather together for celebration, reunion, and business or education purposes, there is a corresponding risk of losing life or property. Experts in risk management have established basic rules to manage risks during events. These are:

1. Avoid or diminish the risk- each circumstance should be assessed for possible risks. These risks should be determined and avoided.
2. Transfer the risk - for risks that cannot be avoided and for which the event manager should not be held liable.
3. Devise backups and alternatives - alternative plans should be ready to be put into place.
4. Distribute the risk - obtaining various sources of revenue for an event including many sponsors can reduce the risk of failure to generate the needed revenue.



Risk Control Measures

The following are the risk control measures:

1. **Elimination plans**-for example, removal of dangerous children's equipment.
2. **Substitution plans**- for example, replacing slippery tiles in the restroom with non-slippery tiles.
3. **Isolation plans** -for example, isolating dangerous or noisy equipment.
4. **Engineering controls** -for example, using fences to prevent access to busy roads.
5. **Administrative controls** -for example, using warning signs. trained staff, and well-developed procedures.
6. **Contingency plans** - for example, evacuation as a contingency plan in case the risk cannot be completely avoided.



That's All Thank You

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Lozano, Jelly Rose